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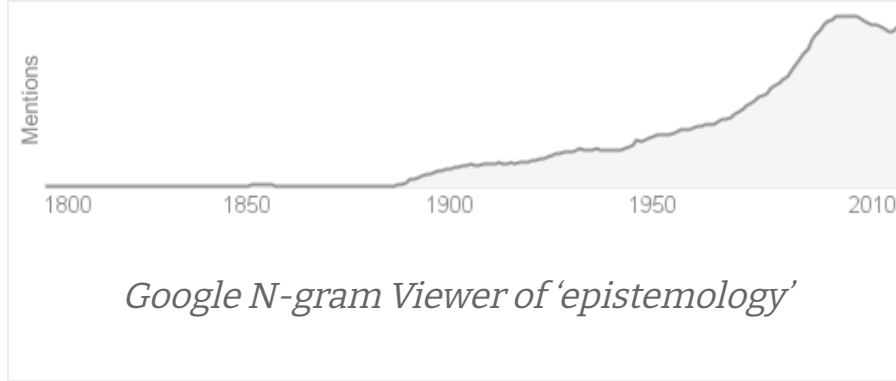
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Saad Ahmed

Newsconomics: Trends in Competition and Bias in the News Industry

Allegedly the most empirical civilization of all time, our Information Age would no doubt serve its audience righteously in their attempts to obtain knowledge. But take a look at the N-gram, a Google search engine that charts the frequency of a word in printed sources over time, for the word *epistemology*:



As the study of 'how we know', epistemology distinguishes justified beliefs from opinion.

Since the dawn of the Information Age in the 1990s and the advent of the Internet, the use of this word, and implicitly its application to our lives, has been in decline. But what does this trend mean for the news media industry in terms of how news firms compete?

Firstly, considering audience trends in the US, newspapers have decreased in circulation by 7%, while the average viewership for prime-time news has increased by 8% [1]. Competition in the Cable TV market has increased because of the reduction of regulatory controls during the 1980s, subsequently incentivizing news firms to enter this market [2]. This raised much appraise with academics and professionals in the field who hold that the 'persuasion game', between firms in the market who bout for news scoops and larger readerships, will always yield the truth. Given that at least one news source propagates the truth and consumers read all sources, the truth will be known by all readers as all firms eventually bend to the most empirical facts and information over time as presented in the truthful news source, since each firm's reputation is on the line [3]. For example, a Democrat newspaper reveals a scandal concerning a Republican, and a Republican newspaper initially denies it. However, assuming the Democrat newspaper has the best facts, the Republican newspaper eventually concedes to some of the allegations because their reputation is at stake as their readership, who also reads the Democrat newspaper, begins to know of the truth.

Now, let's complicate our 'persuasion game' by introducing a bias on the supply-side of the news market. Naturally, news firms are incentivized

to be the first to find and publish 'scoops', news stories that are desirable to the public. However, a firm might be suppressed as a result of government intrusion. Consider the following variables: government bribe B , firm revenue for story circulation R , the number of firms N , and value to government of suppression V . The bribe must be $B \geq R$. Further, $B \leq V/N$, since the value of suppression will be distributed between the number of firms. Therefore, the suppression equilibrium is $V/N \geq R$, which indicates that a greater number of firms, or increased competition, will decrease the likelihood that the story is suppressed. Additionally, as firms drop out and avoid a particular story, remaining firms have a growing incentive to publish as their potential audience grows. Human rights violations in Iraq's Abu Ghraib prison and the leak of the 'Pentagon Papers' are examples of stories that were suppressed by government intrusion after their initial publication [3].

More often in our Information Age, a bias is introduced on the demand-side of the news market. Consumers have a preference for news sources that confirm their prior beliefs [4]. When the main source of news was newspapers, readers could pick up multiple papers with different biases to get an objective view of all sides of an issue, thus the success of the 'persuasion game' in yielding truth. However, with the rise of prime-TV news coverage, and readers turning to other sources on the Internet, like Facebook, it became simple and easy to appease your own bias. Given that consumers have a psychological urge to confirm and fall further in their beliefs [5] and that news quality is increasingly being associated with whether or not their belief is confirmed [3], it comes as no surprise that news firms cater to their audience by bias-targeting. Thus, considering the N-gram presented above, a decline in empiricism can be causally related to the advent of Internet news and the drinking of the Kool-Aid, en masse.

Bias-targeting is ever present in the strategy of prime-TV news firms who hope to satisfy their audience. With the Information Age, such a formula has unfurled itself farther as the news industry's competition increases with evermore rapid forms of ingestion: Websites, mobile

apps and social media posts. Just in case such conveniences weren't courtly enough, Facebook's news feed algorithm prioritizes what a user is likely to click on and browse through [6]. However, this may only reinforce false biases. Further, as a user's online traffic becomes more prevalent, it paves the way for bias-targeting on a political level.

Cambridge Analytica is a Big Data company that worked for the 'Brexit' campaign in its primal stages and Trump's Presidential campaign [7]. Their accurate modelling of people's digital footprints gives particular persons an edge as they confirm those biases at that right place, at the right time, to the right people. And the irony that seeps through is that the populist movement, so unempirical and unscientific in their diatribes and nationalistic jargon, was thrust forth unto the steeple because of the modern work of statisticians and scientists of the day.

[1] **<http://www.journalism.org/2016/06/15/state-of-the-news-media-2016/>**

[2] Hamilton, James T. 2004. All the News that's Fit to Sell. Princeton, NJ: Princeton University Press.

[3] **<https://web.stanford.edu/~gentzkow/research/jepmedia.pdf>**

[4] **<https://web.stanford.edu/~gentzkow/research/BiasReputation.pdf>**

[5] Nisbett, Richard, and Lee Ross. 1980. Human Inference: Strategies and Shortcomings of Social Judgment. Englewood Cliffs, NJ: Prentice-Hall, Inc.

[6] **<https://www.bloomberg.com/view/articles/2017-02-17/mark-zuckerberg-s-manifesto-for-facebook-offers-a-social-dystopia>**

[7] **https://motherboard.vice.com/en_us/article/how-our-likes-helped-trump-win**

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